



Sampath Bank

WE PRESENT YOUR FUTURE

SAMPATH BANK PLC

**Interim Financial Statements
for the period ended 31st March 2023
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

Sampath Bank maintains a strong value proposition to all its stakeholders amidst ongoing economic challenges.

Sampath Bank continued to reinforce its commitment to all stakeholders notwithstanding the ongoing economic challenges. Stepping in to support the customers affected by the prolonged economic downturn, the Bank continued to offer tailor-made options and alternative repayment plans to help its customers sustain their businesses while staying true to its ethos of customer value creation. Similarly, the interests of another stakeholder group of the Bank, the shareholders, were kept in mind by paying the industry's highest cash dividend of Rs 3.45 per share and a further Rs 1.15 per share in the form of scrip dividend. The Bank also continues to honour its commitments towards the community via the "Weweta Jeewayak" tank restoration initiative as well as the Oceanic Ecosystem Restoration initiative titled "A Breath to the Ocean" which includes coral restoration, mangrove planting, and turtle conservation programs. The Bank continues to honour its commitment towards the community by focusing on environmental sustainability and towards that end completed the restoration of the Halgahawala forest reserve which it will continue to support even after the project's conclusion.

The Bank succeeded in raising Rs 10 Bn in Tier 2 capital via a debenture issue in February 2023. Despite the depressing economic outlook in the Country, the issue was oversubscribed - a testament to the investor confidence placed in Sampath Bank and widespread acceptance of the stability and prudent governance of the Bank. The newly obtained capital will enable the Bank to rise above and prevail as one of the Country's pre-eminent Bank-

Sampath Bank registered a profit before tax (PBT) of Rs 4.5 Bn and a profit after tax (PAT) of Rs 2.6 Bn for the three months ended 31st March 2023, indicating a decline of 30.5% and 44.3% respectively from the figures reported in 1Q 2022. This decline was mainly attributed to the exchange losses recorded during the quarter as a result of the appreciation of LKR by Rs 39 against the USD on its foreign currency reserves. All other income lines recorded performance well above the previous period.

Key highlights of financial results declared by Sampath Bank and the Group for 1Q 2023 compared to 1Q 2022:

- Strong NII buttressed by the higher AWPLR.
- 19% increase in net fee and commission income driven by trade-related operations
- As a result of the appreciation of LKR against USD by Rs 39 in 1Q 2023 vs depreciation of Rs 93.75 in 1Q 2022, the exchange income declined by Rs 10.9 Bn.
- 27% increase in impairment provision on loans and advances.
- The high inflationary conditions resulting in 22% increase in operational expenses.
- The upward revision in Income Tax rate and the introduction of SSCL resulting in higher tax expenses.
- Group's PBT and PAT for 1Q 2023 was Rs 5 Bn and Rs 3 Bn respectively, reflecting a decline of 27% and 38% respectively.

Fund based income.

Sampath Bank reported a total interest income of Rs 50.2 Bn in 1Q 2023, up by 102% from the Rs 24.9 Bn recorded in the corresponding period of the previous year. The AWPLR moved up significantly from 9.85% at the end of the first quarter of 2022 to 21.4% at the end of the first quarter of 2023. By reason of the higher interest rates that existed throughout the reporting period compared to the preceding period, the Bank was able to register a substantial increase in interest income.

Interest expenses too grew in line with the previously indicated interest rate hikes resulting in the Bank recording a total interest expense of Rs 32.1 Bn in the first quarter of 2023, an increase of 183% over the figure reported in the first quarter of 2022. As a result, net interest income increased by 34% in the first quarter of 2023.

However, the Net Interest Margin (NIM) of 5.60% reported at the end of the quarter under review showed a decline of 6 basis points from the figure reported at the end of 2022. The downward trend in AWPLR reported since the end of 2022 was the primary cause of the decline in NIM.

Non-Fund based income.

The Bank's Net fee and commission income (NFCI) increased by 19% in the first quarter of 2023 compared to the corresponding period in the previous year. NFCI includes income from a variety of sources, including loans and advances, credit cards, trade and electronic channels. First-quarter growth was mainly attributable to the increase in fee and commission income derived from trade and remittance related activities.

Sampath Bank posted a net other operating loss of Rs 4.4 Bn in the first three months of 2023, compared to a gain of Rs 8.7 Bn reported in corresponding period of 2022, denoting a decline of 151%. This was due to the reversal of exchange gain amounting to Rs 4.5 Bn, resulting from the 10.7% appreciation of the LKR against the USD. However, the Bank recorded a net trading gain of Rs 1.7 Bn for the period under review, compared to a loss of Rs 0.4 Bn in the corresponding period of the previous financial year, mainly due to forward exchange contract revaluation gains. On this basis, the Bank's net exchange loss from foreign exchange operations for the period under review was Rs 2.8 Bn (1Q 2022: A gain of Rs 8 Bn)

Impairment charge

The Bank recorded a total impairment charge of Rs 6.9 Bn for the first quarter of 2023, 41% less than the charge for the corresponding period in the previous year. The impairment charge for the first quarter of 2023 consisted of Rs 6.2 Bn on account of loans and advances (Q1 2022: Rs 4.9 Bn) and Rs 0.4 Bn for other financial instruments (Q1 2022: Rs 6.7 Bn). In addition, an impairment charge of Rs 0.4 Bn was recorded against commitments and contingencies (Q1 2022: Rs 0.2 Bn).

Impairment charge on loans and advances: In the first quarter of 2023, the impairment charge for loans and advances increased by 27% compared to the same period in the previous year.

Impairment on Individually Significant Loan (ISL) Customers:

During the first quarter of 2023, the Bank evaluated a substantial portion of its loans and advances under the ISL category, taking into account both their financial strength and external macroeconomic pressures. Consequently, Rs 4.6 Bn was charged as impairment provisions against ISL customers in the first three months of 2023, an increase of Rs 1.3 Bn compared to the same period in 2022.

Even though a slow recovery was witnessed in some vulnerable industries, the Bank prudently maintained the previous level of impairment provisioning against ISL customers in these industries as it did not deem that the industry risk had significantly declined.

Collective Impairment: Impairment models used in 2022 were continued in 1Q 2023 to ensure adequate buffers were in place to absorb any potential credit risk that could arise in future. This cautious strategy was in response to the uncertain economic conditions witnessed both locally and globally. The Bank continued to maintain in 2023, the allowance for overlay which it applied in 2022. The probability weightage applied to the worst-case economic scenario remained unchanged during the reporting period.

During the period under review, the Bank also proceeded to reclassify customers from Stage 1 to Stage 2 considering their potential credit risk. Meanwhile customers operating in Risk Elevated Industries were also reclassified under Stage 2, with additional provisions recognised against them.

Impairment charge on other financial instruments:

The impairment charge on other financial instruments amounted to Rs 0.4 Bn for 1Q 2023, a 95% reduction compared to Rs 6.7 Bn reported in the corresponding period of the previous year. In 1Q 2022, the Bank recognised a substantial impairment charge against FCY denominated government securities in response to the downgrade of Sri Lanka's sovereign rating in April 2022 and the announcement by

the Government of Sri Lanka (GoSL) on the restructuring of the country's external debt through an IMF-supported economic adjustment program. No such provisioning was deemed necessary in 1Q 2023 as substantial provisioning had already been recognised against the said instruments as at 31st December 2022.

Operating Expenses.

Operating expenses in 1Q 2023 showed a 22% increase in comparison to the first quarter of 2022. The 41% increase in other expenses could be attributed to the prevailing inflationary conditions and other factors such as LKR depreciation, increased taxes and import restriction. Personnel costs too-grew by 7.4% in 2023 mainly owing to annual salary increases.

Tax Expenses

Total effective tax rate of the Bank increased to 57% in 1Q 2023 from 42% reported in 1Q 2022, owing to the combined effect of the newly introduced Social Security Contribution Levy (SSCL) and the increase in income tax rate.

Key Ratios

The Return on Average Shareholders' Equity (after tax) decreased to 8.37% as at 31st March 2023 from 10.95% reported at the end of the year 2022. Return on Average Assets (before tax) stood at 1.38% as at 31st March 2023 as against the 1.16% reported as at 31st December 2022.

Capital Ratios

The Bank's latest capital adequacy ratios improved further in 1Q 2023 from the figures reported in the previous quarter in addition to their being well above the regulatory minimum requirements. As at 31st March 2023, Sampath Bank's CET 1, Tier 1 and total capital ratios were at 12.51%, 12.51% and 16.12% compared to 11.92%, 11.92% and 14.27% respectively at the end of 2022. These increases are attributed to two main reasons - Rs 10 Bn worth of Tier 2 capital infusion in February 2023 and decline in risk weighted assets resulting from the LKR appreciation.

Assets and Liabilities

Total assets of the Bank declined by Rs 18 Bn (by 1.4%) from Rs 1.32 Tn as at 31st December 2022 to Rs 1.31 Tn as at 31st March 2023. This decline was mainly the result of the Rupee value reduction in foreign currency denominated assets on the back of the LKR appreciation against the USD.

Similarly, the total Advances declined by Rs 22 Bn (by 2.4%) in the first three months of 2023 from Rs 920 Bn as at 31st December 2022 to Rs 898 Bn at the end of the reporting period due to the LKR appreciation against the USD.

Sampath Bank's total deposit book declined from Rs 1.1 Tn reported at the end of 31st December 2022 to Rs 1.07 Tn at the end of 31st March 2023, a decline of Rs 32 Bn (by 2.9%). The CASA ratio at the end of 1Q 2023 was 32.8% compared to 32.7% reported at the end of 2022.

Dividend

The Shareholders of Sampath Bank at the Annual General Meeting held on 30th March 2023 approved the final Cash Dividend of Rs 3.45 per share and Scrip Dividend of Rs 1.15 per share for the financial year 2022. In its 1Q 2023 Financial Statements, the Bank made a provision of Rs 5.3 Bn to facilitate the payment of the approved final dividend, while Rs 1.1 Bn was capitalised for the purpose of creating shares under scrip dividend. The Bank paid the dividend in April 2023.

STATEMENT OF PROFIT OR LOSS

For the three months ended 31st March	Bank			Group		
	2023 Rs 000	2022 Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %
Gross income	53,899,167	38,336,923	40.6	56,329,480	40,458,867	39.2
Interest income	50,221,439	24,889,336	101.8	52,321,299	26,620,093	96.5
Less : Interest expense	32,078,636	11,348,861	182.7	33,526,590	12,030,248	178.7
Net interest income	18,142,803	13,540,475	34.0	18,794,709	14,589,845	28.8
Fee & commission income	6,302,419	5,133,333	22.8	6,465,968	5,437,053	18.9
Less : Fee & commission expense	903,443	596,693	51.4	903,552	597,149	51.3
Net fee & commission income	5,398,976	4,536,640	19.0	5,562,416	4,839,904	14.9
Net gain/(loss) from trading	1,692,810	(380,726)	544.6	1,672,920	(380,726)	539.4
Net gain on derecognition of financial assets						
- at fair value through profit or loss	93,374	13,181	608.4	96,658	13,181	633.3
- at fair value through other comprehensive income	14,918	458	3,157.2	14,918	458	3,157.2
Net other operating income	(4,425,793)	8,681,341	(151.0)	(4,242,283)	8,768,808	(148.4)
Total operating income	20,917,088	26,391,369	(20.7)	21,899,338	27,831,470	(21.3)
Less: Impairment charge	6,921,080	11,754,260	(41.1)	6,818,202	12,099,803	(43.7)
Net operating income	13,996,008	14,637,109	(4.4)	15,081,136	15,731,667	(4.1)
Less: Operating expenses						
Personnel expenses	3,335,040	3,103,825	7.4	3,693,895	3,457,651	6.8
Depreciation and amortisation expenses	715,708	633,964	12.9	622,906	615,517	1.2
Other expenses	3,843,443	2,731,207	40.7	4,045,640	2,958,081	36.8
Total operating expenses	7,894,191	6,468,996	22.0	8,362,441	7,031,249	18.9
Operating profit before taxes on financial services	6,101,817	8,168,113	(25.3)	6,718,695	8,700,418	(22.8)
Less: Taxes on financial services						
Value added tax	1,418,296	1,713,738	(17.2)	1,506,551	1,871,796	(19.5)
Social security contribution levy	196,986	-		210,064	-	
Total taxes on financial services	1,615,282	1,713,738	(5.7)	1,716,615	1,871,796	(8.3)
Profit before income tax	4,486,535	6,454,375	(30.5)	5,002,080	6,828,622	(26.7)
Less: Income tax expense	1,860,833	1,743,658	6.7	1,991,849	1,975,170	0.8
Profit for the period	2,625,702	4,710,717	(44.3)	3,010,231	4,853,452	(38.0)
Attributable to:						
Equity holders of the Bank	2,625,702	4,710,717	(44.3)	3,010,231	4,853,452	(38.0)
Non-controlling interest	-	-		-	-	
	2,625,702	4,710,717	(44.3)	3,010,231	4,853,452	(38.0)
Earnings per share - Basic/Diluted (Rs)	2.24	4.02	(44.3)	2.57	4.14	(38.0)

STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 31st March	Bank			Group		
	2023 Rs 000	2022 Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %
Profit for the period	2,625,702	4,710,717	(44.3)	3,010,231	4,853,452	(38.0)
Other comprehensive income						
Items that will be reclassified to profit or loss:						
Debt instruments at fair value through other comprehensive income:						
Gain/(loss) arising on re-measurement	863,080	(1,658,971)	152.0	863,080	(1,658,971)	152.0
Reclassification to profit or loss due to derecognition	(14,918)	(458)	(3,157.2)	(14,918)	(458)	(3,157.2)
Changes in impairment for expected credit losses	16,383	169,863	(90.4)	16,383	169,863	(90.4)
Deferred tax effect on the above	(259,364)	357,496	(172.6)	(259,364)	357,496	(172.6)
Net other comprehensive income to be reclassified to profit or loss	605,181	(1,132,070)	153.5	605,181	(1,132,070)	153.5
Items that will not be reclassified to profit or loss:						
Equity instruments at fair value through other comprehensive income:						
Loss arising on re-measurement	(135,265)	(813,391)	83.4	(135,265)	(813,391)	83.4
Exchange difference in translation	(486,555)	2,078,682	(123.4)	(486,555)	2,078,682	(123.4)
Deferred tax effect on the above	186,546	(303,670)	161.4	186,546	(303,670)	161.4
	(435,274)	961,621	(145.3)	(435,274)	961,621	(145.3)
Net other comprehensive income not to be reclassified to profit or loss	(435,274)	961,621	(145.3)	(435,274)	961,621	(145.3)
Other comprehensive income net of tax	169,907	(170,449)	199.7	169,907	(170,449)	199.7
Total comprehensive income for the period net of tax	2,795,609	4,540,268	(38.4)	3,180,138	4,683,003	(32.1)
Attributable to:						
Equity holders of the Bank	2,795,609	4,540,268	(38.4)	3,180,138	4,683,003	(32.1)
Non-controlling interest	-	-	-	-	-	-
	2,795,609	4,540,268	(38.4)	3,180,138	4,683,003	(32.1)

STATEMENT OF FINANCIAL POSITION

As at	31st March 2023	Bank 31st December 2022 (Audited)	Change	31st March 2023	Group 31st December 2022 (Audited)	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%
ASSETS						
Cash & cash equivalents	72,240,355	79,162,545	(8.7)	72,405,619	79,344,587	(8.7)
Balances with Central Bank of Sri Lanka	33,466,879	31,579,185	6.0	33,466,879	31,579,185	6.0
Placements with banks	26,175,320	10,927,216	139.5	26,175,320	10,927,216	139.5
Reverse repurchase agreements	6,357,782	10,072,569	(36.9)	7,661,763	10,299,569	(25.6)
Derivative financial instruments	1,333,728	44,598	2,890.6	1,333,728	44,598	2,890.6
Financial assets recognised through profit or loss - measured at fair value	2,375,695	4,641,277	(48.8)	2,505,330	4,822,395	(48.0)
Financial assets at amortised cost						
- loans & advances	785,947,238	811,157,649	(3.1)	814,846,309	839,976,738	(3.0)
- debt & other instruments	258,954,010	278,775,796	(7.1)	263,894,670	284,237,662	(7.2)
Financial assets - fair value through other comprehensive income	54,965,071	32,772,930	67.7	54,965,127	32,772,986	67.7
Investment in subsidiaries	3,898,512	3,898,512	-	-	-	-
Property, plant & equipment	8,843,387	8,910,525	(0.8)	19,078,548	19,067,412	0.1
Intangible assets	608,891	578,031	5.3	635,555	600,341	5.9
Right-of-use assets	4,013,539	3,540,286	13.4	3,175,567	3,265,770	(2.8)
Deferred tax assets	21,931,269	21,734,244	0.9	22,246,030	21,992,147	1.2
Other assets	24,937,498	26,630,974	(6.4)	26,700,887	28,388,956	(5.9)
Total Assets	1,306,049,174	1,324,426,337	(1.4)	1,349,091,332	1,367,319,562	(1.3)
LIABILITIES						
Due to banks	7,587,399	11,297,181	(32.8)	10,975,451	15,255,184	(28.1)
Derivative financial instruments	1,115,496	1,449,393	(23.0)	1,115,496	1,449,393	(23.0)
Securities sold under repurchase agreements	19,813,928	2,283,291	767.8	19,438,928	2,283,291	751.4
Financial liabilities at amortised cost						
- due to depositors	1,064,553,688	1,096,099,874	(2.9)	1,084,823,050	1,115,155,879	(2.7)
- due to other borrowers	8,339,593	9,173,923	(9.1)	8,339,593	9,173,923	(9.1)
- due to debt securities holders	27,359,040	25,259,536	8.3	34,929,103	32,872,261	6.3
Retirement benefit obligation	2,050,158	1,845,228	11.1	2,207,841	1,998,238	10.5
Dividend payable	4,331,258	187,141	2,214.4	4,331,258	187,141	2,214.4
Current tax liabilities	18,042,714	18,754,155	(3.8)	18,483,473	19,186,239	(3.7)
Deferred tax liabilities	-	-	-	1,465,662	1,465,662	-
Other liabilities	27,826,399	31,696,670	(12.2)	28,396,325	32,741,284	(13.3)
Total Liabilities	1,181,019,673	1,198,046,392	(1.4)	1,214,506,180	1,231,768,495	(1.4)

STATEMENT OF FINANCIAL POSITION

As at	Bank			Group		
	31st March 2023 Rs 000	31st December 2022 (Audited) Rs 000	Change %	31st March 2023 Rs 000	31st December 2022 (Audited) Rs 000	Change %
EQUITY						
Stated capital	47,622,493	47,622,493	-	47,622,493	47,622,493	-
Net scrip dividend to be capitalised	1,118,626	-		1,118,626	-	
Reserves						
Statutory reserve fund	5,755,000	5,755,000	-	6,033,000	6,033,000	-
Other reserves	65,002,329	64,832,981	0.3	68,500,267	68,330,919	0.2
Retained earnings	5,531,053	8,169,471	(32.3)	11,310,766	13,564,655	(16.6)
Total equity attributable to equity holders of the Bank	125,029,501	126,379,945	(1.1)	134,585,152	135,551,067	(0.7)
Non-controlling interest	-	-		-	-	
Total Equity	125,029,501	126,379,945	(1.1)	134,585,152	135,551,067	(0.7)
Total Liabilities & Equity	1,306,049,174	1,324,426,337	(1.4)	1,349,091,332	1,367,319,562	(1.3)
Commitments & contingencies	353,343,419	315,363,167	12.0	352,316,259	314,491,810	12.0
Net asset value per share (Rs)	106.62	107.77	(1.1)	114.77	115.59	(0.7)

Memorandum information

Number of employees	4,034	3,948
Number of branches	229	229

CERTIFICATION:

I certify that the above Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd)

Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Director of Sampath Bank PLC, certify jointly that:

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and

(b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank and its subsidiary companies unless indicated as audited.

(Sgd)

Harsha Amarasekera

Chairman

15th May 2023

(Sgd)

Vajira Kulatilaka

Director

STATEMENT OF CHANGES IN EQUITY

Bank

For the three months ended 31st March 2022	Stated Capital Rs 000	Statutory Reserve Fund Rs 000	Other Reserves			Retained Earnings Rs 000	Total Equity Rs 000
			Revaluation Reserve Rs 000	FVOCI Reserve Rs 000	General Reserve Rs 000		
Balance as at 1st January 2022	47,622,493	5,075,000	3,159,910	1,618,637	52,468,905	8,806,714	118,751,659
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	4,710,717	4,710,717
Other comprehensive income	-	-	-	(170,449)	-	-	(170,449)
Total comprehensive income for the period	-	-	-	(170,449)	-	4,710,717	4,540,268
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2021: cash	-	-	-	-	-	(4,863,589)	(4,863,589)
Unclaimed dividend adjustments	-	-	-	-	(80)	-	(80)
Total contributions by and distributions to equity holders	-	-	-	-	(80)	(4,863,589)	(4,863,669)
Balance as at 31st March 2022	47,622,493	5,755,000	3,159,910	1,448,188	52,468,825	8,653,842	118,428,258

For the three months ended 31st March 2023	Stated Capital Rs 000	Net Scrip Dividend to be Capitalised Rs 000	Statutory Reserve Fund Rs 000	Other Reserves			Retained Earnings Rs 000	Total Equity Rs 000
				Revaluation Reserve Rs 000	FVOCI Reserve Rs 000	General Reserve Rs 000		
Balance as at 1st January 2023	47,622,493	-	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	2,625,702	2,625,702
Other comprehensive income	-	-	-	-	169,907	-	-	169,907
Total comprehensive income for the period	-	-	-	-	169,907	-	2,625,702	2,795,609
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2022: scrip	-	1,118,626	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	-	(559)	-	(559)
Total contributions by and distributions to equity holders	-	1,118,626	-	-	-	(559)	(5,264,120)	(4,146,053)
Balance as at 31st March 2023	47,622,493	1,118,626	5,755,000	3,594,984	2,418,557	58,988,788	5,531,053	125,029,501

STATEMENT OF CHANGES IN EQUITY

Group

For the three months ended 31st March 2022	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2022	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	13,866,847	127,185,518	-	127,185,518
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	4,853,452	4,853,452	-	4,853,452
Other comprehensive income	-	-	-	(170,449)	-	-	(170,449)	-	(170,449)
Total comprehensive income for the period	-	-	-	(170,449)	-	4,853,452	4,683,003	-	4,683,003
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2021: cash	-	-	-	-	-	(4,863,589)	(4,863,589)	-	(4,863,589)
Unclaimed dividend adjustments	-	-	-	-	(80)	-	(80)	-	(80)
Total contributions by and distributions to equity holders	-	-	-	-	(80)	(4,863,589)	(4,863,669)	-	(4,863,669)
Balance as at 31st March 2022	47,622,493	5,315,000	6,293,636	1,448,188	52,468,825	13,856,710	127,004,852	-	127,004,852

For the three months ended 31st March 2023	Stated Capital	Net Scrip Dividend to be Capitalised	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
				Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	-	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the period										
Profit for the period	-	-	-	-	-	-	3,010,231	3,010,231	-	3,010,231
Other comprehensive income	-	-	-	-	169,907	-	-	169,907	-	169,907
Total comprehensive income for the period	-	-	-	-	169,907	-	3,010,231	3,180,138	-	3,180,138
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2022: scrip	-	1,118,626	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	-	(559)	-	(559)	-	(559)
Total contributions by and distributions to equity holders	-	1,118,626	-	-	-	(559)	(5,264,120)	(4,146,053)	-	(4,146,053)
Balance as at 31st March 2023	47,622,493	1,118,626	6,033,000	7,092,922	2,418,557	58,988,788	11,310,766	134,585,152	-	134,585,152

STATEMENT OF CASH FLOWS

For the three months ended 31st March	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Cash flows from operating activities				
Interest receipts	44,880,472	23,507,353	47,616,307	25,494,477
Interest payments	(25,209,136)	(12,440,244)	(25,951,978)	(13,006,780)
Net commission receipts	5,399,729	4,538,589	5,563,169	4,841,853
Cash payments to employees	(4,180,804)	(3,687,993)	(4,529,798)	(4,031,940)
Taxes on financial services	(2,052,697)	(810,350)	(2,133,915)	(1,007,407)
Receipts from other operating activities	325,742	130,766	509,250	546,157
Cash payments to other operating activities	(3,637,289)	(2,936,788)	(4,086,060)	(3,618,906)
Operating profit before changes in operating assets & liabilities	15,526,017	8,301,333	16,986,975	9,217,454
(Increase)/decrease in operating assets				
Balances with Central Bank of Sri Lanka	(1,887,694)	(817,494)	(1,887,694)	(817,494)
Financial assets at amortised cost - loans & advances	8,755,807	(26,839,914)	8,146,071	(27,567,303)
Other assets	1,935,534	(3,521,978)	1,941,113	(3,347,405)
	8,803,647	(31,179,386)	8,199,490	(31,732,202)
(Decrease)/increase in operating liabilities				
Due to banks	(3,019,689)	(8,455,652)	(3,492,362)	(8,855,341)
Re-purchase agreements	17,514,523	11,738,326	17,139,523	11,738,326
Financial liabilities at amortised cost - due to depositors	(17,023,121)	10,158,175	(16,272,275)	9,932,932
Financial liabilities at amortised cost - due to other borrowers	(913,669)	(1,223,350)	(913,669)	(1,223,350)
Other liabilities	(3,637,020)	2,904,485	(3,194,447)	4,535,640
	(7,078,976)	15,121,984	(6,733,230)	16,128,207
Net cash generated from operating activities before income tax	17,250,688	(7,756,069)	18,453,235	(6,386,541)
Income tax paid	(2,842,117)	(1,425,135)	(3,021,738)	(1,566,939)
Net cash generated from/(used in) operating activities	14,408,571	(9,181,204)	15,431,497	(7,953,480)
Cash flows from investing activities				
Purchase of property, plant & equipment	(129,111)	(118,440)	(315,393)	(544,892)
Proceeds from disposal of property, plant & equipment	-	-	6	1,779
Net cash flow from reverse repurchase agreements	3,650,789	579,318	2,573,808	(174,640)
Net cash flow from financial assets - FVPL	2,428,740	1,900,494	2,463,617	1,900,494
Net cash flow from debt instruments at amortised cost	(566,662)	499,337	(45,456)	397,194
Net cash flow from financial assets - FVOCI	(6,957,104)	4,192,702	(6,957,104)	4,192,702
Purchase of intangible assets	(91,677)	(141,119)	(98,482)	(152,627)
Net cash generated from/(used in) investing activities	(1,665,025)	6,912,292	(2,379,004)	5,620,010
Cash flows from financing activities				
Proceeds from the issue of debentures	10,000,000	-	10,000,000	-
Redemption of debentures	(7,500,000)	-	(7,500,000)	-
Net proceeds from securitisation	-	-	(289,215)	-
Repayment of principal portion of lease liabilities	(311,859)	(262,999)	(255,043)	(146,549)
Net cash generated from/(used in) financing activities	2,188,141	(262,999)	1,955,742	(146,549)
Net cash generated/(used) during the period	14,931,687	(2,531,911)	15,008,235	(2,480,019)
Net foreign exchange difference	(6,515,030)	1,580,649	(6,515,030)	1,580,649
Cash & cash equivalents at the beginning of the year	90,071,931	25,155,288	89,862,724	25,299,191
Cash & cash equivalents at the end of the year	98,488,588	24,204,026	98,355,929	24,399,821

NOTES TO THE FINANCIAL STATEMENTS

1.0 Analysis of Loans and Advances and Impairment

	Bank		Group	
	31st March 2023	31st December 2022	31st March 2023	31st December 2022
As at	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000
1.1 Gross loans & advances	898,074,099	920,121,651	930,982,358	953,090,229
Less: Accumulated impairment under stage 1	9,084,594	9,917,653	9,076,838	9,934,498
Accumulated impairment under stage 2	39,665,213	44,751,656	40,568,612	45,651,154
Accumulated impairment under stage 3	63,377,054	54,294,693	66,490,599	57,527,839
Net loans & advances	785,947,238	811,157,649	814,846,309	839,976,738
1.2 Product-wise loans and advances				
Local currency				
Bills of exchange	381,537	199,719	381,537	199,719
Leasing	25,683,701	28,705,433	53,717,829	56,212,902
Housing loans	53,006,027	54,481,331	53,006,027	54,481,331
Export loans	2,949,888	3,107,861	2,949,888	3,107,861
Import loans	73,825,540	87,188,988	73,825,540	87,188,988
Refinance loans	7,927,500	8,869,594	7,927,500	8,869,594
Term loans	371,149,654	369,913,048	366,866,702	366,794,405
Overdraft	86,817,311	87,331,782	86,539,143	86,335,675
Staff loans	10,676,559	10,888,428	10,807,664	11,026,852
Pawning and gold loans	75,841,227	67,897,237	84,259,315	76,603,695
Credit cards	20,355,338	20,790,055	20,355,310	20,790,032
Money market loans	21,764,407	11,363,511	21,764,407	11,363,511
Factoring	1,573,184	1,837,544	1,901,880	2,209,110
Others	5,888	5,720	563,278	365,154
Sub total	751,957,761	752,580,251	784,866,020	785,548,829
Foreign currency				
Bills of exchange	2,178,118	2,288,964	2,178,118	2,288,964
Housing loans	564,379	728,261	564,379	728,261
Export loans	32,247,490	37,670,492	32,247,490	37,670,492
Import loans	12,044,266	10,660,352	12,044,266	10,660,352
Term loans	90,203,504	105,074,508	90,203,504	105,074,508
Overdraft	8,874,246	11,051,658	8,874,246	11,051,658
Others	4,335	67,165	4,335	67,165
Sub total	146,116,338	167,541,400	146,116,338	167,541,400
Total gross loans and advances	898,074,099	920,121,651	930,982,358	953,090,229

1.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	9,917,653	44,751,656	54,294,693	108,964,002
Net charge for the period	(691,797)	(4,061,369)	10,935,508	6,182,342
Write-off during the period	-	-	(178,055)	(178,055)
Interest income accrued on impaired loans & advances	-	-	(1,200,616)	(1,200,616)
Other movements including exchange differences	(141,262)	(1,025,074)	(474,476)	(1,640,812)
Balance as at 31st March 2023	9,084,594	39,665,213	63,377,054	112,126,861

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	9,934,498	45,651,154	57,527,839	113,113,491
Net charge for the period	(716,398)	(4,057,468)	10,853,514	6,079,648
Write-off during the period	-	-	(216,489)	(216,489)
Interest income accrued on impaired loans & advances	-	-	(1,201,354)	(1,201,354)
Other movements including exchange differences	(141,262)	(1,025,074)	(472,911)	(1,639,247)
Balance as at 31st March 2023	9,076,838	40,568,612	66,490,599	116,136,049

NOTES TO THE FINANCIAL STATEMENTS

2.0 Analysis of Commitments and Contingencies and Impairment

	As at	Bank		Group	
		31st March 2023	31st December 2022	31st March 2023	31st December 2022
		(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000
2.1	Gross commitments and contingencies	356,745,979	318,482,231	355,710,252	317,605,110
	Less: Accumulated impairment under stage 1	2,065,836	2,128,073	2,057,269	2,122,309
	Accumulated impairment under stage 2	1,333,724	975,413	1,333,724	975,413
	Accumulated impairment under stage 3	3,000	15,578	3,000	15,578
	Net commitments and contingencies	353,343,419	315,363,167	352,316,259	314,491,810
2.2	Product-wise commitments and contingencies				
	Local currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	116,321,586	103,715,092	115,081,816	102,562,272
	Undrawn - indirect credit facilities	68,860,789	66,213,062	68,860,789	66,213,062
	Acceptances	127,306	89,863	127,306	89,863
	Documentary credit	1,021,123	1,174,783	1,021,123	1,174,783
	Guarantees	36,294,538	39,984,632	36,299,038	39,990,333
		222,625,342	211,177,432	221,390,072	210,030,313
	Other commitments & contingencies				
	Capital commitments	806,185	843,434	1,005,728	1,113,432
	Operating lease commitments	71,675	64,405	71,675	64,405
	Forward exchange contracts	5,592,309	1,349,606	5,592,309	1,349,606
	Currency SWAPs	13,092,200	4,631,690	13,092,200	4,631,690
		19,562,369	6,889,135	19,761,912	7,159,133
	Sub total	242,187,711	218,066,567	241,151,984	217,189,446
	Foreign currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	39,412,560	46,406,625	39,412,560	46,406,625
	Undrawn - indirect credit facilities	7,076,928	8,878,121	7,076,928	8,878,121
	Acceptances	9,972,237	12,421,381	9,972,237	12,421,381
	Documentary credit	16,935,908	19,816,721	16,935,908	19,816,721
	Guarantees	3,425,918	3,839,585	3,425,918	3,839,585
		76,823,551	91,362,433	76,823,551	91,362,433
	Other commitments & contingencies				
	Capital commitments	293,990	117,551	293,990	117,551
	Forward exchange contracts	16,458,345	2,666,132	16,458,345	2,666,132
	Currency SWAPs	20,982,382	6,269,548	20,982,382	6,269,548
		37,734,717	9,053,231	37,734,717	9,053,231
	Sub total	114,558,268	100,415,664	114,558,268	100,415,664
	Total gross commitments and contingencies	356,745,979	318,482,231	355,710,252	317,605,110

2.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	2,128,073	975,413	15,578	3,119,064
Net charge to profit or loss	(20,902)	421,934	(12,578)	388,454
Write-off during the period	-	-	-	-
Other movements including exchange differences	(41,335)	(63,623)	-	(104,958)
Balance as at 31st March 2023	2,065,836	1,333,724	3,000	3,402,560

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	2,122,309	975,413	15,578	3,113,300
Net charge to profit or loss	(23,705)	421,934	(12,578)	385,651
Write-off during the period	-	-	-	-
Other movements including exchange differences	(41,335)	(63,623)	-	(104,958)
Balance as at 31st March 2023	2,057,269	1,333,724	3,000	3,393,993

NOTES TO THE FINANCIAL STATEMENTS

3.0 Analysis of Deposits

As at	Bank		Group	
	31st March 2023	31st December 2022	31st March 2023	31st December 2022
	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000
Local Currency Deposits				
Demand deposits	52,315,362	53,597,498	52,207,683	53,572,363
Saving deposits	241,536,714	241,685,530	241,424,179	241,614,954
Call deposits	5,095	6,022	5,095	6,022
Fixed deposits	581,698,520	579,849,920	602,188,096	599,001,636
Certificates of deposits	5,791,117	5,888,555	5,791,117	5,888,555
Margin deposits	2,031,809	1,854,990	2,031,809	1,854,990
Total local currency deposits	883,378,617	882,882,515	903,647,979	901,938,520
Foreign Currency Deposits				
Demand deposits	10,335,216	12,245,502	10,335,216	12,245,502
Saving deposits	46,476,062	52,657,036	46,476,062	52,657,036
Fixed deposits	124,144,616	148,164,690	124,144,616	148,164,690
Margin deposits	219,177	150,131	219,177	150,131
Total foreign currency deposits	181,175,071	213,217,359	181,175,071	213,217,359
Total deposits	1,064,553,688	1,096,099,874	1,084,823,050	1,115,155,879

EXPLANATORY NOTES

- There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2022.
- The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
- There are no material changes during the year in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
- These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.

5. Market Price of a Share	2023 (Rs)	2022 (Rs)
Market Price as at 31st March	52.50	45.80
Highest Market Price during the quarter ended 31st March	59.30	56.50
Lowest Market Price during the quarter ended 31st March	33.00	45.50
Weighted Average Market price during the quarter ended 31st March	46.30	53.62

6. Impairment of financial assets

Loans and advances

The Bank performed a detailed assessment of individually significant customers as at 31st March 2023 and adequate provisioning made in the Financial Statements. Key assumptions (such as security realization period, probability weightages for multiple cash flow scenarios etc.) used in the impairment computation of individually significant customers have been changed during the period where necessary.

Despite the slight improvement in the macro-economic variables during 1st quarter 2023, Sampath Bank continued to maintain the collective impairment provisions recognised as at the end of the previous year. Further, provisions recognised as at 31st December 2022 by way of management overlays were also continued without any change along with the other assumptions used in the economic factor adjustment.

Other financial assets

Loss rates applied to Sri Lanka Development Bonds (SLDBs) and Sri Lanka International Sovereign Bonds (SLISBs) remained unchanged in 1Q 2023. Total impairment provision for SLDBs and SLISBs as at 31st March 2023 amounted to Rs 16.7 Bn.

7. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements.

8. Dividend

The Shareholders of the Bank at the Annual General Meeting held on 30th March 2023 approved a final Dividend of Rs 4.60 per share (Rs 3.45 per share in cash and Rs 1.15 per share in scrip) for the financial year 2022. The Bank has made a provision of Rs 5,264 Mn for the approved final dividend in its Financial Statements as at 31st March 2023. The dividend distribution took place in April 2023.

The Bank issued, 28,326,805 ordinary voting shares under Scrip Dividend and those shares have been listed with effect from 18th April 2023.

The Basic/Diluted Earnings per Share (EPS) and the Net Assets Value per Share of the Bank and the Group for the comparative period have been adjusted to reflect the increased number of shares after the Scrip Dividend.

9. Utilisation of funds raised via capital markets

9.1 Utilisation of funds raised from the debenture issue 2023

Objective number	Objective as per Prospectus	Amount allocated as per Prospectus	Proposed date of utilisation as per Prospectus	Amount allocated from proceeds (A)	% of total proceeds	Amounts utilised (B)	% of utilisation against allocation (B/A)	Clarification if not fully utilised including where the funds are invested
1	To increase the Tier 2 capital base of the Bank.	Rs 10.0 Bn	09.02.2023	Rs 10.0 Bn	100%	Rs 10.0 Bn	100%	Fully utilized
2	To improve the liquid asset base of the Bank.	Rs 10.0 Bn	09.02.2023	Rs 10.0 Bn	100%	Rs 10.0 Bn	100%	Fully utilized

9.2 The funds raised via capital market in previous years

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

10. Reclassification of Debt Portfolio in 2022

In 2022, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a "Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio" which provided a one-off option to the entities to reclassify their debt portfolios measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost (AC). This SoAT was issued considering the unprecedented macro-economic conditions prevailed during the year 2022. Applying this SoAT, the Bank reclassified its FVOCI treasury bond portfolio with effect from 1st April 2022 to AC.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 31st March 2023 amounted to Rs 26.7 Bn. Had these treasury bonds continued at FVOCI, the fair value and the cumulative mark to market loss as at 31st March 2023 would have been Rs 24.0 Bn and Rs 2.7 Bn respectively.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 31ST MARCH 2023

Name of the Shareholder	No. of shares	% holding
1 Vallibel One PLC	171,117,084	14.95
2 Ayenka Holdings (Pvt) Limited	114,123,916	9.97
3 Employees' Provident Fund	114,123,780	9.97
4 Mr Y S H I Silva*	93,799,287	8.20
5 Phantom Investments (Private) Limited	60,571,885	5.29
6 Rosewood (Pvt) Limited - Account No.1	51,405,893	4.49
7 Senthilverl Holdings (Pvt) Ltd	41,047,046	3.59
8 Akbar Brothers Pvt Ltd A/C No. 1	27,455,171	2.40
9 Employees' Trust Fund Board	22,425,477	1.96
10 Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,546,646	1.01
11 Citi Bank Newyork S/A Norges Bank Account 2	11,116,592	0.97
12 Mrs P D A S Beruwalage	10,837,215	0.95
13 Pemberton Asian Opportunities Fund	10,250,000	0.90
14 BBH - Tundra Sustainable Frontier Fund	9,600,000	0.84
15 Dr T Senthilverl	9,510,837	0.83
16 SSBT-AL Mehwar Commercial Investments L.L.C.	6,710,925	0.59
17 Magna Wealth (Pvt) Ltd	6,461,463	0.56
18 Phoenix Ventures Private Limited	4,909,975	0.43
19 Deutsche Bank Ag As Trustee To Capital Alliance Quantitative Equity Fund	4,690,401	0.41
20 Mellon Bank N A - UPS Group Trust	4,655,274	0.41
	786,358,867	68.72
Shares held by Directors	2,000,117	0.17
Balance held by other shareholders	356,014,971	31.11
Total	1,144,373,955	100.00

*Mr Rushanka Silva, the Managing Director of Indra Traders (Pvt) Ltd, was appointed as a Non Executive, Non Independent Director of the Bank with effect from 01st September 2017. Accordingly the shareholding of Mr Y S H I Silva, who is the main shareholder of Indra Traders (Pvt) Ltd, has been excluded from the public shareholding of the Bank.

As at	31st March 2023
Number of public shareholders	30,701
Percentage of public holding	90.62%
Float adjusted market capitalization	Rs 54 Bn

The Bank complies with the minimum public holding requirement under option 1 of listing rules section 7.13.1 (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 31st March 2023	As at 31st December 2022
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Dr J T V S Weerawarana	-	-
6 Mr Vajira Kulatilaka	-	-
7 Ms R K Jayawardena	-	-
8 Mr Vinod Hirdaramani	281,129	281,129
9 Mr Hiran Cabraal	-	-
10 Mr M N R Fernando (Managing Director)	1,718,988	1,718,988
11 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group

For the period ended 31st March	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	11,478,770	5,509,842	13,702,306	8,409,295	3,991,281	3,633,494	-	-	(10,377,648)	(2,962,786)	18,794,709	14,589,845
Net fee & commission income	1,509,928	1,733,160	3,970,158	2,906,598	82,330	200,146	-	-	-	-	5,562,416	4,839,904
Net gain/(loss) from trading	-	-	-	-	1,672,920	(380,726)	-	-	-	-	1,672,920	(380,726)
Net gain on derecognition of financial assets	-	-	-	-	111,576	13,639	-	-	-	-	111,576	13,639
Net other operating income	-	-	417,886	499,110	675,790	(2,777,491)	67,126	38,329	(5,403,085)	11,008,860	(4,242,283)	8,768,808
Total revenue from external customers	12,988,698	7,243,002	18,090,350	11,815,003	6,533,897	689,062	67,126	38,329	(15,780,733)	8,046,074	21,899,338	27,831,470
Inter segment (expense)/income	(317,020)	(158,196)	337,449	175,308	-	-	191,318	139,170	(211,747)	(156,282)	-	-
Total operating income	12,671,678	7,084,806	18,427,799	11,990,311	6,533,897	689,062	258,444	177,499	(15,992,480)	7,889,792	21,899,338	27,831,470
Less :Impairment charge	3,608,515	2,245,285	2,890,150	3,447,991	349,150	6,298,736	(3,816)	5,108	(25,797)	102,683	6,818,202	12,099,803
Net operating income	9,063,163	4,839,521	15,537,649	8,542,320	6,184,747	(5,609,674)	262,260	172,391	(15,966,683)	7,787,109	15,081,136	15,731,667
Less : Total operating expenses	140,993	126,318	4,885,925	3,796,637	118,162	120,464	135,302	114,629	3,082,059	2,873,201	8,362,441	7,031,249
Segment result	8,922,170	4,713,203	10,651,724	4,745,683	6,066,585	(5,730,138)	126,958	57,762	(19,048,742)	4,913,908	6,718,695	8,700,418
Less: Taxes on financial services											1,716,615	1,871,796
Less: Income tax expense											1,991,849	1,975,170
Profit for the period											3,010,231	4,853,452
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											3,010,231	4,853,452
As at 31st March	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	399,303,582	397,130,977	488,339,582	523,109,384	357,820,684	373,915,126	8,905,873	7,532,397	(12,800,804)	(11,283,357)	1,241,568,917	1,290,404,527
Unallocated assets	-	-	-	-	-	-	-	-	107,522,415	46,752,907	107,522,415	46,752,907
Total assets	399,303,582	397,130,977	488,339,582	523,109,384	357,820,684	373,915,126	8,905,873	7,532,397	94,721,611	35,469,550	1,349,091,332	1,337,157,434
Segment liabilities	34,173,421	45,003,476	1,068,459,316	1,036,346,615	26,653,997	28,839,244	3,293,795	2,476,819	(9,676,197)	(7,467,872)	1,122,904,332	1,105,198,282
Unallocated liabilities	-	-	-	-	-	-	-	-	91,601,848	104,954,300	91,601,848	104,954,300
Total liabilities	34,173,421	45,003,476	1,068,459,316	1,036,346,615	26,653,997	28,839,244	3,293,795	2,476,819	81,925,651	97,486,428	1,214,506,180	1,210,152,582
For the period ended 31st March	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	14,315,090	(8,959,960)	1,830,108	(1,173,117)	(107,373)	616,941	107,429	(130,157)	(713,757)	1,692,813	15,431,497	(7,953,480)
Cash flows from investing activities	-	-	-	-	(1,400,644)	7,420,641	(149,845)	(130,145)	(828,515)	(1,670,486)	(2,379,004)	5,620,010
Cash flows from financing activities	-	-	94,200	1,468,295	-	-	166,774	(48,174)	1,694,768	(1,566,670)	1,955,742	(146,549)
Capital expenditure	-	-	(13,765)	(291,511)	-	-	(178,917)	(58,664)	(221,193)	(347,344)	(413,875)	(697,519)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 31st March 2023

Financial Assets	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Cash & cash equivalents	-	72,240,355	-	72,240,355
Balances with Central Bank of Sri Lanka	-	33,466,879	-	33,466,879
Placements with banks	-	26,175,320	-	26,175,320
Reverse repurchase agreements	-	6,357,782	-	6,357,782
Derivative financial instruments	1,333,728	-	-	1,333,728
Financial assets recognised through profit or loss - measured at fair value	2,375,695	-	-	2,375,695
Financial assets at amortised cost				
- loans & advances	-	785,947,238	-	785,947,238
- debt & other instruments	-	258,954,010	-	258,954,010
Financial assets - fair value through other comprehensive income	-	-	54,965,071	54,965,071
Other assets	-	19,041,623	-	19,041,623
Total Financial Assets	3,709,423	1,202,183,207	54,965,071	1,260,857,701

Financial Liabilities	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Total Rs 000
Due to banks	-	7,587,399	7,587,399
Derivative financial instruments	1,115,496	-	1,115,496
Securities sold under repurchase agreements	-	19,813,928	19,813,928
Financial liabilities at amortised cost			
- due to depositors	-	1,064,553,688	1,064,553,688
- due to other borrowers	-	8,339,593	8,339,593
- due to debt securities holders	-	27,359,040	27,359,040
Dividend payable	-	4,331,258	4,331,258
Other liabilities	-	21,494,809	21,494,809
Total Financial Liabilities	1,115,496	1,153,479,715	1,154,595,211

Bank - As at 31st December 2022 (Audited)

Financial Assets	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Cash & cash equivalents	-	79,162,545	-	79,162,545
Balances with Central Bank of Sri Lanka	-	31,579,185	-	31,579,185
Placements with banks	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	10,072,569	-	10,072,569
Derivative financial instruments	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,641,277	-	-	4,641,277
Financial assets at amortised cost				
- loans & advances	-	811,157,649	-	811,157,649
- debt & other instruments	-	278,775,796	-	278,775,796
Financial assets - fair value through other comprehensive income	-	-	32,772,930	32,772,930
Other assets	-	21,174,017	-	21,174,017
Total Financial Assets	4,685,875	1,242,848,977	32,772,930	1,280,307,782

Financial Liabilities	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Total Rs 000
Due to banks	-	11,297,181	11,297,181
Derivative financial instruments	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	2,283,291	2,283,291
Financial liabilities at amortised cost			
- due to depositors	-	1,096,099,874	1,096,099,874
- due to other borrowers	-	9,173,923	9,173,923
- due to debt securities holders	-	25,259,536	25,259,536
Dividend payable	-	187,141	187,141
Other liabilities	-	24,725,468	24,725,468
Total Financial Liabilities	1,449,393	1,169,026,414	1,170,475,807

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 31st March 2023

Financial Assets	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Cash & cash equivalents	-	72,405,619	-	72,405,619
Balances with Central Bank of Sri Lanka	-	33,466,879	-	33,466,879
Placements with banks	-	26,175,320	-	26,175,320
Reverse repurchase agreements	-	7,661,763	-	7,661,763
Derivative financial instruments	1,333,728	-	-	1,333,728
Financial assets recognised through profit or loss - measured at fair value	2,505,330	-	-	2,505,330
Financial assets at amortised cost				
- loans & advances	-	814,846,309	-	814,846,309
- debt & other instruments	-	263,894,670	-	263,894,670
Financial assets - fair value through other comprehensive income	-	-	54,965,127	54,965,127
Other assets	-	20,177,560	-	20,177,560
Total Financial Assets	3,839,058	1,238,628,120	54,965,127	1,297,432,305

Financial Liabilities	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Total Rs 000
Due to banks	-	10,975,451	10,975,451
Derivative financial instruments	1,115,496	-	1,115,496
Securities sold under repurchase agreements	-	19,438,928	19,438,928
Financial liabilities at amortised cost			
- due to depositors	-	1,084,823,050	1,084,823,050
- due to other borrowers	-	8,339,593	8,339,593
- due to debt securities holders	-	34,929,103	34,929,103
Dividend payable	-	4,331,258	4,331,258
Other liabilities	-	21,395,881	21,395,881
Total Financial Liabilities	1,115,496	1,184,233,264	1,185,348,760

Group - As at 31st December 2022 (Audited)

Financial Assets	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Cash & cash equivalents	-	79,344,587	-	79,344,587
Balances with Central Bank of Sri Lanka	-	31,579,185	-	31,579,185
Placements with banks	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	10,299,569	-	10,299,569
Derivative financial instruments	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,822,395	-	-	4,822,395
Financial assets at amortised cost				
- loans & advances	-	839,976,738	-	839,976,738
- debt & other instruments	-	284,237,662	-	284,237,662
Financial assets - fair value through other comprehensive income	-	-	32,772,986	32,772,986
Other assets	-	22,481,685	-	22,481,685
Total Financial Assets	4,866,993	1,278,846,642	32,772,986	1,316,486,621

Financial Liabilities	Fair value through Profit or Loss Rs 000	Amortised Cost Rs 000	Total Rs 000
Due to banks	-	15,255,184	15,255,184
Derivative financial instruments	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	2,283,291	2,283,291
Financial liabilities at amortised cost			
- due to depositors	-	1,115,155,879	1,115,155,879
- due to other borrowers	-	9,173,923	9,173,923
- due to debt securities holders	-	32,872,261	32,872,261
Dividend payable	-	187,141	187,141
Other liabilities	-	25,350,978	25,350,978
Total Financial Liabilities	1,449,393	1,200,278,657	1,201,728,050

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the yield curves published by the Central Bank of Sri Lanka.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3 compared to the values reported as at 31st December 2022. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the period ended 31st March 2023.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 31st March 2023				As at 31st December 2022 (Audited)			
	Fair Value Measurement Using			Total Rs 000	Fair Value Measurement Using			Total Rs 000
	Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000		Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	1,333,728	-	1,333,728	-	44,598	-	44,598
Financial assets - fair value through profit or loss	2,375,695	-	-	2,375,695	4,641,277	-	-	4,641,277
Financial assets - fair value through other comprehensive income	54,194,826	709,659	60,586	54,965,071	32,040,333	671,756	60,841	32,772,930
Total financial assets measured at fair value	56,570,521	2,043,387	60,586	58,674,494	36,681,610	716,354	60,841	37,458,805
Financial liabilities measured at fair value								
Derivative financial instruments	-	1,115,496	-	1,115,496	-	1,449,393	-	1,449,393
Total financial liabilities measured at fair value	-	1,115,496	-	1,115,496	-	1,449,393	-	1,449,393

Group

Date of Valuation	As at 31st March 2023				As at 31st December 2022 (Audited)			
	Fair Value Measurement Using			Total Rs 000	Fair Value Measurement Using			Total Rs 000
	Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000		Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	1,333,728	-	1,333,728	-	44,598	-	44,598
Financial assets - fair value through profit or loss	2,505,330	-	-	2,505,330	4,822,395	-	-	4,822,395
Financial assets - fair value through other comprehensive income	54,194,826	709,659	60,642	54,965,127	32,040,333	671,756	60,897	32,772,986
Total financial assets measured at fair value	56,700,156	2,043,387	60,642	58,804,185	36,862,728	716,354	60,897	37,639,979
Financial liabilities measured at fair value								
Derivative financial instruments	-	1,115,496	-	1,115,496	-	1,449,393	-	1,449,393
Total financial liabilities measured at fair value	-	1,115,496	-	1,115,496	-	1,449,393	-	1,449,393

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 31st March 2023					As at 31st December 2022 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	765,234,283	-	765,234,283	785,947,238	-	791,005,705	-	791,005,705	811,157,649
debt & other instruments	170,545,043	40,836,868	-	211,381,911	258,954,010	164,475,802	58,100,341	-	222,576,143	278,775,796
	170,545,043	806,071,151	-	976,616,194	1,044,901,248	164,475,802	849,106,046	-	1,013,581,848	1,089,933,445
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	7,587,399	-	7,587,399	7,587,399	-	11,297,181	-	11,297,181	11,297,181
due to depositors - fixed & certificate of deposits	-	713,797,326	-	713,797,326	711,634,253	-	735,091,094	-	735,091,094	733,903,165
due to debt securities holders	-	23,538,215	-	23,538,215	27,359,040	-	20,292,758	-	20,292,758	25,259,536
	-	744,922,940	-	744,922,940	746,580,692	-	766,681,033	-	766,681,033	770,459,882

Group

Date of Valuation	As at 31st March 2023					As at 31st December 2022 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	793,777,687	-	793,777,687	814,846,309	-	819,121,483	-	819,121,483	839,976,738
debt & other instruments	175,485,703	40,836,868	-	216,322,571	263,894,670	169,937,668	58,100,341	-	228,038,009	284,237,662
	175,485,703	834,614,555	-	1,010,100,258	1,078,740,979	169,937,668	877,221,824	-	1,047,159,492	1,124,214,400
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	10,903,198	-	10,903,198	10,975,451	-	15,174,226	-	15,174,226	15,255,184
due to depositors - fixed & certificate of deposits	-	733,750,474	-	733,750,474	732,123,829	-	754,033,695	-	754,033,695	753,054,881
due to debt securities holders	-	30,243,531	-	30,243,531	34,929,103	-	27,121,650	-	27,121,650	32,872,261
	-	774,897,203	-	774,897,203	778,028,383	-	796,329,571	-	796,329,571	801,182,326

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2018/2023	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 12.50%	N/T	102.13	N/T	102.13	N/T	102.13

Debentures - 2019/2024	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 13.90%	N/T	101.00	N/T	100.50	N/T	100.50

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 9.00%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 28.00%	N/T	N/A	N/T	N/A	N/T	N/A
Floating rate	N/T	N/A	N/T	N/A	N/T	N/A

N/T - Not Traded

N/A - Not Applicable

(b) Interest Rates

Debentures - 2018/2023	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 12.50%	12.50%	12.89%	12.50%	12.89%

Debentures - 2019/2024	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 13.90%	13.90%	13.90%	13.90%	13.90%

Debentures - 2021/2028	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	N/A	N/A
Fixed - 12.50%	Note 01			

N/A - Not Applicable

Note 01

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

(c) Interest Rate of Comparable Government Securities

	2023	2022
3 Month Treasury Bill	25.99%	12.92%
6 Month Treasury Bill	25.79%	12.25%
5 Year Treasury Bond	25.86%	14.83%
7 Year Treasury Bond	24.85%	15.50%

(d) Current Yield & Yield to Maturity

Debentures - 2018/2023	Fixed 12.50%	
	2023	2022
Current yield	N/T	12.62%
Yield to maturity of last trade	N/T	10.42%

Debentures - 2019/2024	Fixed 13.90%	
	2023	2022
Current yield	N/T	13.83%
Yield to maturity of last trade	N/T	13.59%

Debentures - 2021/2028	Fixed 9.00%	
	2023	2022
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2023	2022	2023	2022
Current yield	N/T	N/A	N/T	N/A
Yield to maturity of last trade	N/T	N/A	N/T	N/A

N/T - Not Traded

N/A - Not Applicable

Note 02

Debentures - 2018/2023

The Bank has redeemed the debenture issued in 2018 amounting to Rs 7.5 Bn on 20th March 2023.

(e) Ratios - Bank

	31.03.2023	31.12.2022
Debt to Equity Ratio (%)	21.1%	18.8%
Interest Cover (Times)	6.7%	6.8%
Quick Asset Ratio (%) (as per CBSL Return)	75.7%	75.1%

SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

Item	As at 31st March 2023	As at 31st December 2022	As at 31st March 2023	As at 31st December 2022
	Bank		Group	
Regulatory Capital (Rs 000)				
Common Equity Tier 1 Capital	94,347,981	95,533,144	103,438,163	102,822,613
Total Tier 1 Capital	94,347,981	95,533,144	103,438,163	102,822,613
Total Capital	121,627,245	114,351,589	131,157,547	122,096,525
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	12.51	11.92	12.99	12.18
Total Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	12.51	11.92	12.99	12.18
Total Capital Ratio (Minimum Requirement - 12.5%)	16.12	14.27	16.47	14.46
Leverage Ratio % (Minimum Requirement - 3%)	6.68	7.00	7.10	7.29

	As at 31st March 2023	As at 31st December 2022
	Bank	
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) Ratio %	5.39	4.35
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	52.75	53.84
Profitability		
Interest Margin, %	5.60	5.66
Return on Assets (Before Tax), %	1.38	1.16
Return on Equity (After Tax), %	8.37	10.95
Regulatory Liquidity		
Statutory Liquid Assets - Bank (Rs 000)	339,123,402	326,607,580
Statutory Liquid Assets Ratio - Bank (Minimum Requirement - 20%)	28.27	27.85
Total Stock of High-Quality Liquid Assets (Rs 000)	239,386,739	226,064,957
Liquidity Coverage Ratio - Rupee (%) (Minimum Requirement: 2023 - 100%, 2022 - 90%)	216.19	200.78
Liquidity Coverage Ratio - All Currency (%) (Minimum Requirement: 2023 - 100%, 2022 - 90%)	182.91	146.53
Net Stable Funding Ratio (%) (Minimum Requirement: 2023 - 100%, 2022 - 90%)	157.02	157.10